

Life Insurance Corporation of India (LIC)

Sector: Financials

ROE

49.4%

ROCE

39.1%

D/E

0.00x

OPM

3.9%

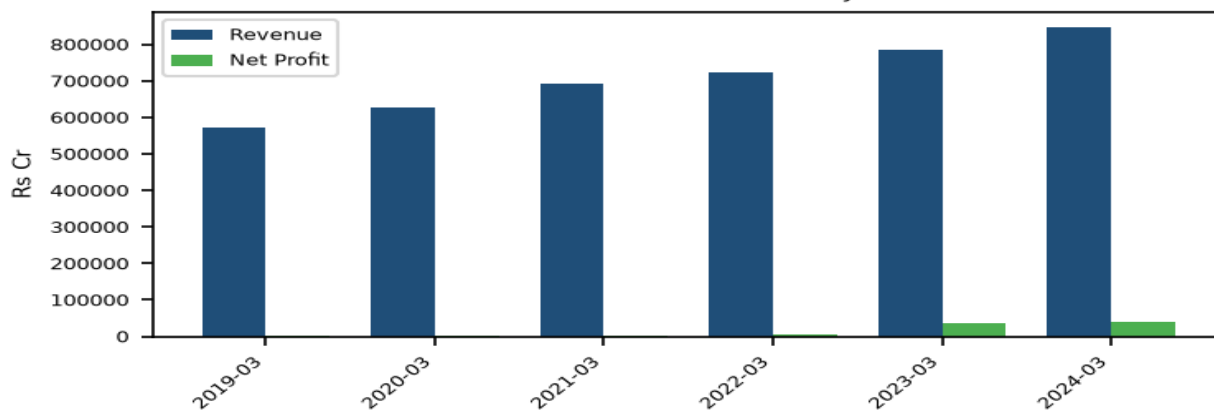
Revenue CAGR 5yr

8.2%

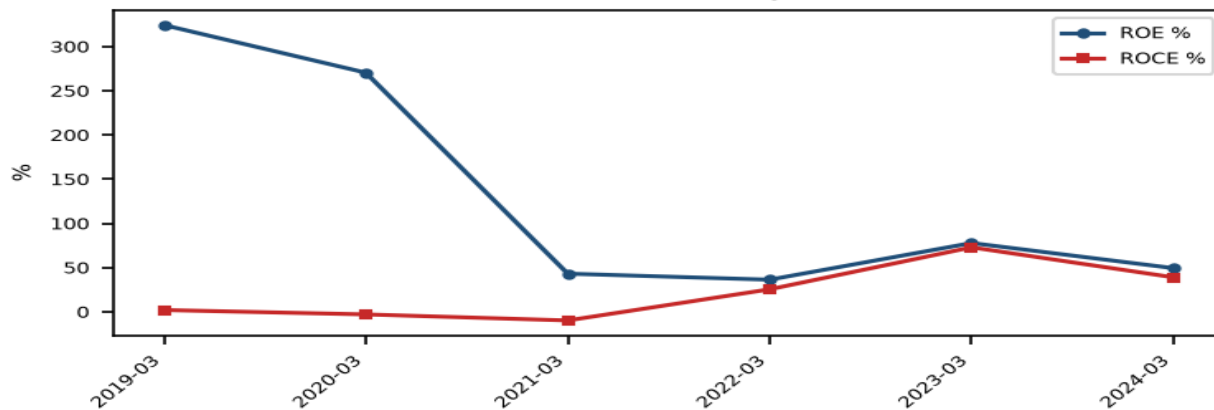
Free Cash Flow

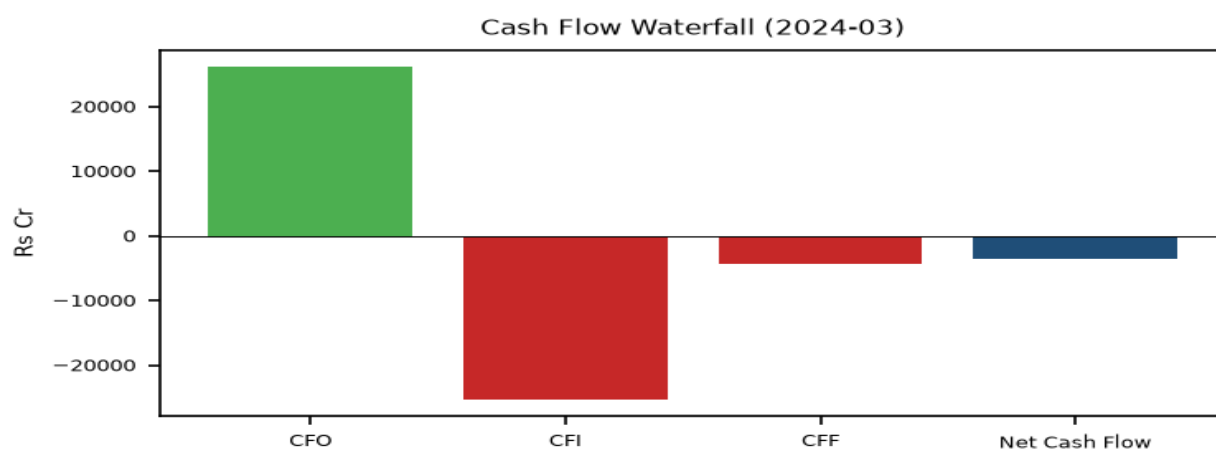
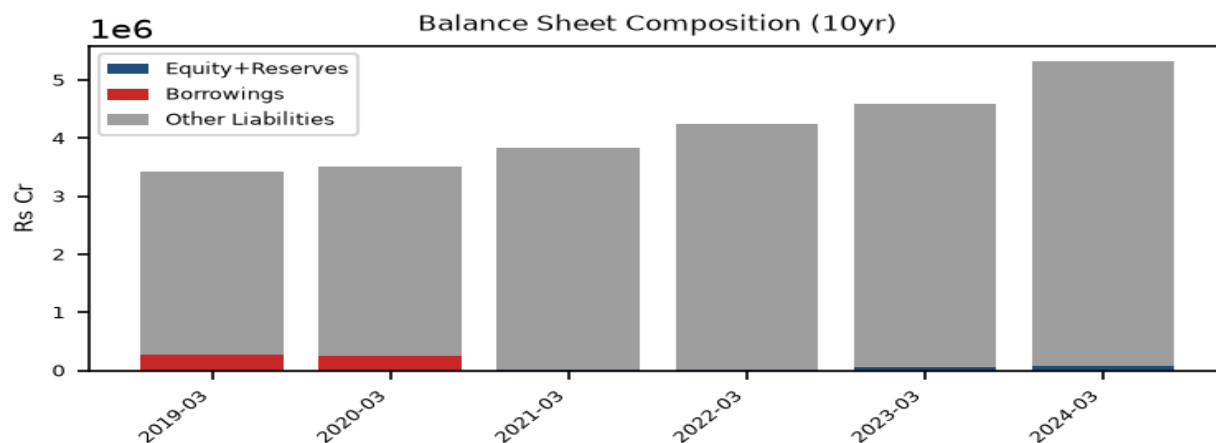
Rs 853 Cr

Revenue & Net Profit (10yr)



ROE vs ROCE (10yr)





Pros

- Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Debt-free balance sheet provides financial flexibility and eliminates interest burden
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistent dividend yield above 2% backed by positive free cash flow
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Insufficient historical data available to assess business risks in detail

Capital Allocation: Reinvestor